

After tax (%)	85.00	28.75	25.00
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Reasonable Year

Earnings before Interest and tax	60	60	60
Interest @ 20% p.a.	32	8	-----
Income before tax	28	52	60
Tax at 50%	14	26	30
Income after tax	14	26	30

Return to Ordinary Shareholders:

Before tax (%)	70.00	32.50	30.00
After tax (%)	30.00	16.25	15.00

Bad Year

Earning before Interest and tax	24	24	24
Interest @ 20% p.a.	32	8	-----
Income before tax	(8)	16	24
Tax @ 50%	-----	8	12
Income after tax	(8)	8	12

Return to Ordinary Shareholders:

Before tax(%)		10	12
After tax (%)		5	6

The tide turns in years of depression or recession as borrowings have to be serviced. At such times, the cost of borrowings often exceed the profits made and results in losses and the company that makes the highest profits is the one that has no borrowings.

One can safely conclude, therefore, that though companies with very little or no borrowings are safer and can be depended upon for some returns both in good years and bad, highly leveraged companies are risky and earnings can be negative in bad years. Conversely, in good years the results of highly leveraged companies can be very good indeed.